SL. No.10

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH

COURT HALL NO: II

Hearing Through: VC and Physical (Hybrid) Mode

CORAM: SHRI. RAJEEV BHARDWAJ – HON'BLE MEMBER (J)
CORAM: SHRI. SANJAY PURI - HON'BLE MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 16.07.2025 at 10:30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**CA (CAA)/20/230/HDB/2025**
NAME OF THE COMPANY	**Megha Engineering & Infrastructures Limited (Demerged Co.) and Western U.P. Power Transmission Company Limited (Resulting Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230 of Companies Act**

ORDER

Orders pronounced, recorded vide separate sheets. In the result, the CA (CAA)/20/230/HDB/2025 is allowed.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Vamsi

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH -II, HYDERABAD

No.CA (CAA) 20/230/HDB/2025

In the matter of Section 230 to 232 of the Companies Act, 2013
Scheme of Amalgamation
of

Megha Engineering & Infrastructure Limited
(CIN U45202TG2006PLC050271)
("Demerged Company')

A n d

Western U.P.Power Transmission Company Limited
(CIN U40105UP2009PLC038219)
("Resulting Company")

A n d

Their respective Shareholders

M/s.Megha Engineering & Infrastructure Limited,
Represented by its Directory,
Mr.N.Thirupathi Rao,
having its registered Office at S-2,
Technocrat Industrial Estate,
Balanagar, Hyderabad – 500 037,
Telangana, India.

...Applicant Company/Demerged Company

M/s.Western U.P.Power Transmission Company Limited,
Represented by its Authorised Signatory,
Mr.N.Thirupathi Rao,
having its registered Office at No.400/220/33
KV Sub Station, Indirapuram,
Kalapatthar, Ghaziabad,
Uttar Pradesh – 201 014.

...Resulting Company

A n d

Their Respective Shareholders and Creditors

Date of Order: 16.07.2025

Coram:

Sri Rajeev Bhardwaj, Hon'ble Member (Judicial)
Sri Sanjay Puri, Hon'ble Member (Technical)

No.C.A. (CAA) 20/230/HDB/2025

Date of Order:16.07.2025

Counsel present:

For the Applicants : Mr.Arjun Reddy Bojja, Mr.Nanda Gopal, Mr.G.Bheemachary, Advocates

[P E R : B E N C H]

O R D E R

1) This application is filed under Section 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 (hereinafter referred to as "the Act, 2013"), read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by M/s.Megha Engineering & Infrastructure Limited (hereinafter referred to as Demerged Company) and M/s.Western U.P.Power Transmission Company Limited (hereinafter referred to as Resulting Company) with effect from the Appointed Date. The Demerged Company and the Resulting Company are herein collectively referred to as the **"Applicant Companies"** and severally as **"Applicant Company".**

2) This Joint Application is filed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 praying for the following reliefs :

a) To convene the meeting of the Equity Shareholders of the Applicant Company/Demerged Company at the registered office of the Company or any other place as may be directed for consideration of the proposed Scheme consequently.

b) To convene the meeting of the Secured Creditors and Unsecured Creditors of the Applicant Company/Demerged Company at the registered office of the Company or any other place as may be directed, for consideration of the proposed Scheme consequently.

c) In the light of the substantial number of Unsecured Creditors, permit sending notices to Nine Hundred and Fifty-Four Unsecured Creditors who are cumulatively owed 75% of the total unsecured debt in value for the purposes of convening the meeting of the Creditors.

d) To appoint a chairperson for convening and conducting the meeting of the Equity Shareholders, Secured and Unsecured Creditors.

e) That the quorum be fixed as 2(two) for Equity Shareholders and Secured Creditors personally present in the Equity Shareholders and Secured Creditors meeting respectively, 50(Fifty) Unsecured Creditors personally present in the Unsecured Creditors meeting.

f) The Equity Shareholders, Secured and Unsecured Creditors be permitted to exercise their votes at the said meeting either in person or through proxies.

g) As to the manner of giving the notices of the said meeting, it is sufficient to serve the notice on the Equity Shareholders, Secured and Unsecured Creditors of the Applicant Company/Demerged Company by email or by ordinary/speed post or courier.

h) That the advertisement be directed to be published once in English Edition of "The Business Standard", Hyderabad Edition and once in Telugu Edition of "Nava Telangana", Hyderabad Edition.

i) As for the time for the Chairperson of the meeting to file their reports to the Hon'ble Tribunal of the result of the meeting, the time be fixed as 10 days from the date of the said meeting.

j) Pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case.

3) **Description of the Demerged Company:**

a) **Megha Engineering & Infrastructures Limited**, (hereinafter referred to as "Applicant Company" or "Demerged Company" or "MEIL") having its registered office in the State of Telangana, was incorporated under the provisions of the Companies Act, 1956, on 7th June, 2006 under the Companies Act, 2013.

(Certified copies of the Certificate of Incorporation, Memorandum and Articles of Association of the Demerged Company is at Annexure-A of the Application).

b) The address for service of notices on the Applicant Company/Demerged Company is that of its counsels Bojja Arjun Reddy and Nanda Gopal

Cuddapah, having their office at 201, Lotus Esplendito, Road No.1, Banjara Hills, Hyderabad 500034.

c) **The present main objects of the Demerged Company are as follows:**

i. To carry on the business of developers of infrastructure projects of every kind and description, industrial parks, townships, real estate developers, builders, engineers, contractors of civil, mechanical, electrical and structural engineering, construction of drinking water and irrigation projects, roads, sewers, bridges, embankments, dams, canals, ports, etc.

ii. To carry on business as providers of infrastructure facilities of every kind and description either on lease or otherwise and for these purposes to purchase take on lease or otherwise acquire and hold any lands, estates or buildings, rights or interests therein or connected there with and to construct, reconstruct, alter, improve, decorate, furnish and maintain buildings, structures and erections of all kinds and to carry on any other business analogous or incidental thereto.

iii. To carry on business as manufacturers, importers, exporters, dealers and traders in MS Pipes, PSC Pipes. GRP Pipes. Surge, Protection Devices, electrical, electronic, mechanical and engineering products, devices, tools, goods and accessories of every kind and description, ferrous and non-ferrous metals, metal casting, forgings and structures.

iv. To carry on business in Power sector comprising of trading, generation, transmission and distribution with conventional and non-conventional sources and renewable and alternative energy sources.

v. To carry in business in Hydrocarbon sector comprising exploration, production, processing and engineering procurement and construction of related plant and equipment in petroleum and gas sector.

vi. To plan, establish, develop, provide, operate, maintain and market various services, including cable or satellite based communications and networking services or broadcasting or broadcasting content services, direct-to-home services, satellite based transmission services and maintain telecommunication networks, systems, services including telephones, telex, message, relay, data transmission, facsimile, television, telematics, value added network services,

paging, cellular, mobile, audio and video services, maritime and Aeronautical communication services and other telecommunication services as are in use elsewhere or to be developed in future and to act as satellite based service provider and carry on the business of generation, distribution redistribution, reception, transmission, re-transmission of audio, video, data and radio signals.

vii. To carry on the business of design, development, manufacture, installation, commissioning, integration, up-gradation, repairs and to act as maintainers, buyers, sellers, hirers, exporters, importers, distributors, representatives and dealers of all military grade products including weapons, small arms, medium & large arms, ammunition, military transport, Infantry Combat Vehicles, defence electronics, avionics, communication equipment, naval systems for Defence Forces including Army, Navy, Air Force, Para Military forces and State police forces and to run the said activity by itself or through partnership, joint venture, Transfer of Technology (ToT) in association with any private, public or foreign technology partners.

viii. To carry on in India or elsewhere the business of exploring, operating and working on mines, quarries, to acquire mining and other rights an coal mines, metals, ores or minerals by purchase, lease, license, grant or otherwise, to engage in the production, extraction, sale and disposal, gasification, liquefaction, trading, import, export, sub-contracting and to deal with coal, metals, minerals and its by products, to mine, quarry or beneficiate coal, coke and other by-products of minerals, to treat and render marketable such of the aforesaid and any other minerals as are capable of commercial exploitation, beneficiation, to install, operate and manage all necessary plants, mines, establishments in India and abroad.

ix. To establish, organize, manage, run, charter, conduct, contract, develop, handle, own, operate, lease the passenger services, freight forwarders, transport, cartage and haulage contractors in India and abroad and to provide carrier, freight, transport and delivery services by land, road, railway, sea, river, canal, water or air through any kind of vehicle or mode of transport and to act as booking agents, indenting agents and travel agents for and in connection with the passengers, containers, packages, parcels, articles, mails, goods or bulk commodities.

d) **Share of Capital of the Demerged Company**:

The authorized, issued, subscribed and paid-up share capital of the Applicant Company/Demerged Company as on March 31, 2024, is as follows:

Authorised Capital	Amount (Rs)
1,50,00,00,000 Equity Shares of Rs.10/- each	15,00,00,00,000
T O T A L	**15,00,00,00,000**
Issued, subscribed and paid-up share capital	
15,60,10,000 Equity Shares of Rs.10/- each	1,56,01,00,000
T O T A L	**1,56,01,00,000**

Subsequent to March 31, 2024 and till the date of filing the Scheme, there has been change in the issued, subscribed and paid-up capital of the Applicant Company/Demerged Company.

e) **Financials of the Demerged Company**:

The financial summary of the Demerged Company as on March, 2024 is given below:

P a r t i c u l a r s	**As at March 31, 2024**
I.Assets: 1. **Non-current assets**	
(i) Property, Plant & Equipment	3,666.20
(ii) Intangible assets	4.02
(iii) Capital work in progress	160.87
(iv) Financial Assets:	
(a) Investments	5,423.96
(b) Loans	3,908.08
(c) Other financial assets	2,182.09
(d) Other non-current assets	1,258.02
Total non-current assets	**16,593.24**
2**. Current assets**	
(i) Inventories	2,072.07
(ii) Financial Assets:	
(a) Investments	22.17
(b) Trade receivables	7,638.45
(c) Cash and cash equivalents	4,053.87

(d) Bank balances other than above	1,424.07
(e) Loans	3,285.00
(f) Other financial assets	7,257.32
(g) Other current assets	5,566.33
Total Current Assets	**31,319.29**
Total Assets	**47,912.52**
II. Equity and Liabilites	
(A)Equity	
(a) Equity Share Capital	156.01
(b) Other Equity	23,682.99
Total Equity	**23,839.00**
(B) Liabilities	
1) Non-current liabilities	
(i) Financial liabilities	
(a) Borrowings	1,750.00
(b) Lease liabilities	0.25
(c) Other financial liabilities	1,002.87
(ii) Other non-current liabilities	50.25
(iii) Provisions	57.61
(iv) Deferred tax liabilities(net)	52.62
Total non-current liabilities	2,913.60
2. Current liabilities	
(i) Financial liabilities	
(a) Borrowings	2,023.32
(b) Trade Payables Dues of Microand Small Enterprises	51.01
Dues of others	7,117.50
(c) Lease liabilities	0.80
(d) Other financial liabilities	2,184.48
(ii) Other current liabilities	9,589.74
(iii)Provisions	7.24
(iv)Current tax liabilities(net)	185.83
Total Current Liabilities	**21,159.92**
Total Liabilities	**24,073.52**
Total Equity & Liabilities	**47,912.52**

(Certified copies of the Audited Financial Statements as at March 31, 2024 and provisional financial statements at December 31, 2024 of the Demerged Company is at Annexures B1 & B2 of the Application)

4) **Description of the Resulting Company:**

a) **Western U.P.Power Transmission Company Limited**, (hereinafter referred to as "Resulting Company) is a company incorporated under the Companies Act, 1956 validly existing under the Companies Act, 2013 was incorporated on 11th September, 2009 vide Corporate Identity Number U40105UP2009PLC038219**).**

b) The Registered office of the Applicant Company/Demerged Company is situated at S-2, Technocrat Industrial Estate, Balanagar, Hyderabad, Telangana, India, 500 037.

The Resulting Company is a one hundred percent subsidiary of the Applicant Company, engaged in the business of developing, operating and maintaining power transmission lines including sub-stations and associated schemes in specific geographical areas under the Build, Own, Operate, Maintain and Transfer (BOOT) mode.

(Copy of audited financial statements as at March 31, 2024 along with the copy of provisional financial statements as at December 31, 2024 of the Resulting Company is at Annexure DI & D2, respectively of the Application).

c) **The present main objects of the Resulting Company are as follows:**

The main objects of Western U.P. Power Transmission Company Limited (hereinafter referred to as "Resulting Company" or "WUPPTCL") are set out in the Memorandum of Association which are briefly as under:

i. To acquire, establish, construct, take over, erect, lay, operate, run, manage, hire, lease, buy, sell, maintain, enlarge, later renovate, modernize, work and use electrical transmission lines and/ or network through extra high voltage, high voltage and associated sub-stations, cables, wires, connected with transmission ancillary services, telecommunication and telemetering equipment in the Western State of U.P. for transmission of power through 765/400 KV Sub-Station transmission lines.

ii. To undertake for and on behalf of others the erection, operation, maintenance, management of extra high voltage high voltage

transmission lines and associated sub-stations, equipment, apparatus, cables and wires.

iii. To execute agreements for transmission of power to distribution companies and other persons and to coordinate aid and advise on the activities of other companies and concerns, including subsidiaries, associates and affiliated engaged in transmission and wheeling of electrical energy."

d) **Share of Capital of the Resulting Company**:

The authorized, issued, subscribed and paid-up share capital of the Resulting Company as on March 31, 2024, is as follows:

Authorised Capital	**Amount (Rs)**
15,00,00,000 Equity Shares of Rs.10/- each	1,50,00,00,000
12,00,00,000, 0.01% Compulsory Redeemable Cumulative Preference Shares of Rs.100/- each	12,00,00,00,000
T o t a l	**13,50,00,00,000**
Issued, Subscribed and Paid-up Capital	**Amount (Rs)**
1,41,60,000 Equity Shares of Rs.10/- each	14,16,00,000
7,20,91,650, 0.01% Compulsory Redeemable Cumulative Preference Shares of Rs.100/- each	7,20,91,65,000
T O T A L	**7,35,07,65,000**

Subsequent to March 31, 2024 and till the date of filing the Scheme, there has been change in the issued, subscribed and paid-up capital of the Resulting Company.

5) The Resulting Company is engaged in several businesses including Engineering and Construction services for Irrigation, Drinking Water, Power (including generation and transmission), Roads, Rail, Manufacturing, Hydrocarbon, Electric Vehicles, City Gas distribution, Renewable Energy, Manufacturing of spiral welded pipes, HDPE pipes, MDPE pipes, valves and vessels and other infrastructure sectors with over 130 group companies.

6) As part of its diversified portfolio, it is also engaged in the power transmission business and undertakes the business of handling transmission lines, sub-stations and power plant projects, encompassing the implementation of several projects and operations and maintenance (O&M) of the related infrastructure that form part of the transmission

network, as a division and operates in this sector through its subsidiaries for the purposes of various regulatory stipulations. The Resulting Company's Transmission Business caters to the requirements of implementing the projects through its subsidiaries. It is also engaged in providing support activities, as well as supervisory and management functions to its group entities. Incidental to its Transmission Business, it raises funds by way of equity and/or debt for further infusion into various special purpose vehicles (including for refinancing) and provides corporate guarantees on behalf of its subsidiaries and group companies.

7) **Jurisdiction of the Bench:**

The registered office of the Applicant Company/Demerged Company is situated in the State of Telangana. Therefore, the Applicant Company/ Demerged Company declares that the subject matter of the Application is within the jurisdiction of the National Company Law Tribunal, Hyderabad Bench at Hyderabad.

8) **Rationale for The Proposed Scheme:**

The Scheme of Arrangement is being proposed broadly for the ease of doing businesses by the group companies by the Demerger of the Demerged Undertaking of MEIL into WUPPTCL. The circumstances that have necessitated or justified the proposed Scheme of Arrangement and its main benefits are, inter alia, summarized as under:

i. The Demerged Company engaged in several businesses including Engineering and Construction services for Irrigation, Drinking Water, Power, Roads, Rail, Manufacturing, Hydrocarbon, Electric Vehicles, City Gas distribution, Renewable Energy, Manufacturing of spiral welded pipes, HDPE pipes, MDPE pipes, valves and vessels and other infrastructure sectors with over 130 group companies. As part of its diversified portfolio, it is also engaged in implementation, operation and maintenance of several projects in infrastructure sector and infrastructural areas through its special purpose vehicles. The Demerger would bring synergies in the operations of the Resulting Company and would enable the Resulting Company to focus on the

business of the Demerged Undertaking, in a more professional manner and to create a more competitive business both in scale and operations.

ii. The Demerged Undertaking is subject to different rates of profitability, growth opportunities, future prospects and risks. The nature of risk and competition involved in these businesses are distinct. With an endeavor to enhance shareholder's value, it is proposed to reorganize and segregate the businesses of the Demerged Undertaking of the Demerged Company into WUPPTCL.

iii. Enable each business to pursue growth opportunities and offer investment opportunities to potential investors.

iv. The Scheme will also provide flexibility to rope in strategic/financial investors for the Demerged Undertaking which best suit their investment strategies and risk profile; and

v. The Demerger will allow the shareholders of the Demerged Company to unlock their value to the extent it relates to the Demerged Undertaking.

vi. It is submitted that the Scheme is in the best interest of the shareholders, employees and creditors of each of the companies involved in the Scheme.

(Copy of the Scheme of Arrangement is at Annexure E of the Application).

9) **Board Resolution**:

i. In view of the aforesaid, the Board of Directors of the Applicant Company/ Demerged Company vide its meeting dated 24th February, 2025 approved the Scheme of Arrangement between MEIL and WUPPTCL and their respective Shareholders.

(Copy of Board Resolution of the Applicant Company/Demerged Company, approving the Scheme of Arrangement is at Annexure – F of the Application).

ii. The Board of Directors of the Resulting Company vide its meeting dated 24th February, 2025 also approved the Scheme of Arrangement between MEIL and WUPPTCL and their respective Shareholders.

(Copy of Board Resolution of the Resulting Company approving the Scheme of Arrangement is at Annexure – G of the Application)

10) Some of the salient/material features of the proposed Scheme of Amalgamation of the Applicant Companies are detailed in Page Nos.15 to 43 of the Application are given below:

S.No.	Clause Nos of the Scheme	Details	Page Nos. of the Application
1	20 (i), (ii) (a) to (g) (iii) to (xviii)	Transfer and Vesting of the Demerged Undertaking from the Demerged Company into the Resulting Company.	15 to 25
2	20 (xix) to (xxiii)	Consideration	26 to 27
3	20 (xxix)	Change in the Share Capital Structure of the Resulting Company	28
4	20 (xxv) to (xxix)	Legal Proceedings	28 to 29
5	20 (xxx) to (xxxii)	Contracts, Deeds and other Instruments	30 to 31
6	20 (xxiii) to (xxxviii)	Taxation matters	31 to 35
7	20 (xxxix) to (xIi)	Conduct of business until the effective date of the Scheme	35 to 37
8	20 (xIii) to (xIv)	Staff, Workmen and Employees	37 to 38
9	20 (xIvi)	Power to give effect	38 to 39
10	20 (xIvii)	Accounting treatment in the books of the Demerged Company	39 to 40
11	20 (xIviii)	Accounting treatment in the books of the Resulting Company	40 to 41
12	20 (xIix)	General Accounting Treatment	41 to 42
13	I to Iv	Cancellation of Share Capital of the Resulting Company held by the Demerged Company	42 to 43

11) **Consideration** :

i) Upon approval of the Scheme by the Tribunal and in consideration of the transfer and vesting of the Demerged Undertaking of the Demerged Company into the Resulting Company pursuant to the Scheme, the Resulting Company shall without any further application, act, instrument or deed, issue and allot Equity Shares credited as fully paid up, to the extent indicated below to the members of the Demerged Company holding fully paid Equity Shares of the Demerged Company and whose name appear in the register of members of the Demerged Company as on the Record Date or to such of their respective heirs, executors, administrators or other legal representatives or other

successors in title as may be recognized by the Board of Directors of the Resulting Company in the following proportion:

a) 1,000 (one thousand) fully paid-up Equity Shares of Rs.10 (Rupees ten only) each of the Resulting Company for every 11,018 (eleven thousand eighteen) Equity Shares of Rs.10/- (Rupees ten only) each held on the Record Date by the equity shareholders in the Demerged Company.

ii) Any fractional entitlement arising out of issuance and allotment of Equity Shares of the Resulting Company to the shareholders of the Demerged Company pursuant to Clause 20 (xix) shall be rounded off to the nearest integer.

iii) Where shares of the Resulting Company are to be allotted to heirs, executors or administrators or, as the case may be, to the successors of the deceased equity shareholders of the Demerged Company, the concerned heirs, executors, administrators or successors shall be obliged to produce evidence of title satisfactory to the Board of Directors of the Resulting Company.

iv) The approval of the Scheme by the shareholders of the Resulting Company shall be deemed to be the approval under section 62 read with section 42 of the Act read with relevant rules made thereunder, for the purpose of issue and allotment of shares by the Resulting Company to the shareholders of the Demerged Company and shall be deemed to have complied with the provisions of the Act, if any and any other applicable provisions of the Act, and such other statutes and regulations as may be applicable.

v) The shares issued and allotted by the Resulting Company in terms of the Scheme shall be subject to the provisions of the Memorandum and Articles of Association of the Resulting Company and shall inter-se rank pari passu in all respects with the then existing Equity Shares and preference shares, if any, respectively, of the Resulting Company, save and except in relation to dividends declared, and distributed by the Resulting Company from the Appointed Date till the date of approval of the Scheme by the Tribunal to which only the existing Equity Shares of the Resulting Company will be entitled to.

vi) **Change in the Share Capital Structure of the Resulting Company:**

Upon the Scheme coming into effect, the issued and subscribed share capital structure of the Resulting Company shall automatically comprise only of the equity share capital.

12) **Cancellation of Share Capital of the Resulting Company held by the Demerged Company**:

a) Upon the scheme being effective in accordance with the order approved by the NCLT under Sections 230 to 232 of the Act, the equity and preference shares held by the Demerged Company in the Resulting Company (representing the entire issued, subscribed and paid-up share capital) shall stand cancelled.

b) After the cancellation of the initial share capital and issue of shares to the shareholders of the Demerged Company, the shareholding pattern of the Resulting Company shall be the same as that of the Demerged Company. No consideration shall be payable to the shareholders of the Resulting Company on account of cancellation of such share capital pursuant to this clause.

c) Upon cancellation of the total paid up share capital of the Resulting Company as per the clause above, the total paid up share capital of the Resulting Company shall stand reduced to the extent of the nominal value of the shares cancelled.

d) Notwithstanding the reduction in the total paid up share capital of the Resulting Company, the Resulting Company shall not be required to add "And reduced" as a suffix to its name.

e) Upon filing of the Order sanctioning the Scheme, the reduction shall be deemed to take effect from the Effective Date.

f) Since the said reduction is an integral part of the Scheme under Sections 230 to 232 of the Act and will be made effective pursuant to order(s) the NCLT sanctioning the scheme in terms of Sections 230 to 232 of the Act, the provisions of Section 66 of Companies Act, 2013 shall not be applicable.

g) The order of the NCLT sanctioning the Scheme shall also be deemed to be an order under Section 66 of the Companies Act, 2013 confirming the reduction.

(Copy of the balance sheet of the Demerged Undertaking is at Annexure H of the Application).

13) **Accounting Treatment Certificate:**

The accounting treatment certificate obtained from the statutory auditor of the Applicant Company and the Resulting Company in relation to the accounting treatment mentioned as per Section 133 of the Companies Act, 2013 in the Scheme of Arrangement is annexed at **Annexure I1 & I2 respectively of the Application**.

14) **Valuation Certificate:**

The valuation certificate obtained from the Registered Valuer for determining the share exchange ratio in relation to the Scheme of Arrangement for demerger of the Demerged Undertaking of the of the Demerged Company into the Resultant Companies is at **Annexure – J of the Application).**

15) **Equity Shareholding:**

It is submitted that there are 12 (twelve) equity shareholders in the Applicant Company/Demerged Company.

(Copies of the list of shareholders duly certified by Chartered Accountant is at Annexure -K of the Application).

16) **Secured and Unsecured Creditors:**

As on the date of filing the Application, there are 12 (twelve) Secured Creditors in the Applicant Company valuing Rs.837,31,77,933/- crores (Rupees Eight Hundred and Thirty Seven Crores Thirty One Lakhs Seventy Seven Thousand Nine Hundred Thirty Three Only) as on 31 December, 24. Further, there are 25,725 (twenty five thousand seven hundred twenty five) Unsecured Creditors in the Applicant Company valuing Rs.53,09,73,78,569/- (Rupees Five Thousand Three Hundred and Nine Crores Seventy Three Lakhs Seventy Eight Thousand Five Hundred and Sixty Nine Only) as on 31 December, 24. Additionally, there are 8,735 (eight thousand seven

hundred thirty five) marginal Unsecured Creditors who owed less than Rupees 20,000/- each. The amount owed to such marginal Unsecured Creditors is only about 0.1% of the total amount owed to the Unsecured Creditors and have therefore not been included in the list.

(List of Secured and Unsecured Creditors of the Applicant Company duly certified by a Chartered Accountant is at Annexure L of the Application).

17) We have heard the Learned Counsel and have seen the consent Affidavits filed by Unsecured creditors and Unsecured loan creditor of the Transferor Company. We have also seen the certificates given by the Chartered Accountant and Company Secretaries certifying the list of Equity Shareholders, Secured and Unsecured Creditors of the Applicant Companies and perused the documents.

18) We order convening of meetings of the Equity Shareholders, Secured and Unsecured Creditors of the Applicant Company/Demerged Company as prayed for.

19) We appoint **Mr.Tameem Moeez**, **Advocate** having email: **tameem @ksandk.com,** Mobile Number:8897272835 as **Chairperson** and **Mr.Ramesh Atluri,** P**CS** having email:atlurifcs@gmail.com, Mobile number: 9247177852 as Scrutinizer for convening the meetings and directions as follows:

a) To convene the meeting of the Equity Shareholders of the Applicant Company/Demerged Company at the registered office of the Company.

b) To convene the meeting of the Secured Creditors and Unsecured Creditors of the Applicant Company/Demerged Company at the registered office of the Company.

c) As the Unsecured Creditors are huge in number, permission is granted, as requested for, for sending notices to 954 (Nine Hundred and Fifty Four) Unsecured Creditors who cumulatively own 75% of the total unsecured debt in value for the purpose of convening the meeting of the Creditors.

d) The quorum is fixed as 2(two) for Equity Shareholders and Secured Creditors personally to be present in the Equity Shareholders and

Secured Creditors meeting respectively, 50(Fifty) Unsecured Creditors personally to be present in the Unsecured Creditors meeting.

e) The Equity Shareholders, Secured and Unsecured Creditors be permitted to exercise their votes at the said meeting either in person or through proxies.

f) Notices of the said meeting may be sent through e-mail or by ordinary/speed post or courier to the Equity Shareholders, Secured and Unsecured Creditors of the Applicant Company/Demerged Company.

g) The advertisement may be published once in English Edition of "The Business Standard", Hyderabad Edition and once in Telugu Edition of "Nava Telangana", Hyderabad Edition.

h) The Meetings of Equity Shareholders will be held at **10.00 AM,** Secured Creditors at **12.00 PM** and Unsecured Creditors at **3.00 PM** on **29th August, 2025** of the Applicant Company/Demerged Company at their Registered Office located at No.S-2, Technocrat Industrial Estate, Balanagar, Hyderabad, India – 500 037

i) The Report along with the compliance affidavit of the Chairperson of the meeting may be submitted to this Tribunal within 10 days from the date of the said meeting.

20) The Fee fixed for Chairperson is **Rs.1,25,000/-** and **Rs.75,000/-** for Scrutinizer respectively for the above meeting.

21) The notice of Meetings of the Equity Shareholders, Secured and Unsecured Creditors of Applicant Companies as mentioned above shall be published in "Business Standard" (English Daily) and in "Nava Telangana" (Telugu Daily) newspapers.

22) The Applicant Companies or its authorized Signatories are directed to issue notices to shareholders, secured and unsecured creditors by ordinary post; or Air Mail or email or hand delivery to their last known address 30 clear days before the said meetings as per Form No. CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuring convening the said meetings of the Applicant Companies. Further directed to intimate day, date and time, a copy of Explanatory

Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

23) The Chairperson shall have all powers under the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 in relation to the conduct of the meetings (s) including, deciding the procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the Scheme or resolution, if any, proposed at the meeting by any person (s).

24) The voting shall be in person or by proxy or authorized representative, provided that the proxy, in the Form No. MGT-11, is duly authorized by the person entitled to attend and vote at the meeting. The form is to be filed with the Transferee Company at its Registered Office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016.

25) The Chairperson to file affidavit within 7 days from the date of the said meetings to this Tribunal that the direction regarding convening and issuance of notice (s) to all the necessary parties have been duly complied with in conformity with the relevant provisions of the Companies Act, 2013 r/w Companies (Compromise, Arrangement and Amalgamation) Rules, 2016. The Chairpersons shall report the conclusion of the aforesaid meetings as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

26) Accordingly, the Company Application **CA(CAA) 20/230/HDB/2025 is allowed and disposed of.**

SD/-
(Sanjay Puri)
Member (Technical)

SD/-
(Rajeev Bhardwaj)
Member(Judicial)

Vinod